Unit 3

BOOKS OF PRIME ENTRY

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3.1 Introduction

3.2 Source documents

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Points to recall

The following points are to be recalled before learning books of prime entry:

- Business entity concept
- Money measurement concept
- Dual aspect concept
- Realisation concept
- Accrual concept
- Materiality concept
- Cost concept

Learning Objectives

To enable the students to

- Understand the meaning and principles of double entry system
- Analyse the transactions on the basis of accounting equation approach
- Apply the rules of double entry system to pass journal entries for transactions

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Key terms to know

- Source documents
- Cash receipt
- Invoice
- Debit note
- Credit note
- Pay-in-slip
- Cheque
- Double entry system
- Accounting equation
- Golden rules of accounting
- Journal entry

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